



LIWELILE IMPUMELELO COMMUNITY CENTRE

FINANCIAL POLICY AND PROCEDURES MANUAL

Document Number: LICC/FIN/POL-001

Version: 1.0

Approved by: Board of Directors

Date Approved: 14 February 2026

Review Date: Annually (February)

Responsible Officer: Treasurer

POLICY STATEMENT

Liwelile Impumelelo Community Centre is committed to the highest standards of financial management, transparency, and accountability. All funds received—whether from donors, government grants, or community contributions, will be managed with integrity, used exclusively for Public Benefit Activities, and accounted for in accordance with the NPO Act, SARS requirements, and generally accepted accounting practices.

SECTION A: GOVERNANCE AND OVERSIGHT

A1. Board Responsibilities

The Board of Directors has ultimate responsibility for financial oversight, including:

- Approving annual budgets
- Monitoring financial performance
- Ensuring adequate internal controls
- Appointing and overseeing the Treasurer
- Approving this policy and any amendments

A2. Treasurer's Role

The Treasurer is responsible for:

- Presenting financial reports at board meetings
- Overseeing the Financial Manager (if appointed)
- Ensuring compliance with SARS and donor requirements
- Coordinating the annual review/audit
- Chairing the Finance Committee

A3. Finance Committee

A Finance Committee comprising at least three board members (including Treasurer) shall meet quarterly to:

- Review of financial reports before board presentation
- Monitor budget compliance
- Review internal controls
- Make recommendations to full board

A4. Segregation of Duties

No single person shall have complete control over any financial transaction. Duties are separated as follows:

Function	Responsible Person	Independent Check
Initiating payment	Program Manager	Centre Manager
Approving payment	Chair + Treasurer	Board (monthly review)
Processing payment	Financial Manager	Treasurer (weekly)
Recording transaction	Financial Manager	Treasurer (monthly)
Reconciling bank	Financial Manager	Treasurer (monthly)
Reviewing reports	Treasurer	Finance Committee

SECTION B: BANKING AND CASH MANAGEMENT

B1. Bank Accounts

1. The organization shall maintain a bank account in its registered name with a registered financial institution.
2. All funds received shall be deposited into this account within 48 hours.
3. No cash shall be kept on premises overnight except for approved petty cash (max R 500).
4. Bank statements shall be obtained monthly and reviewed by the Treasurer.

B2. Signatories

1. The organization shall have at least three authorized signatories:
 - Chairperson (Mzolisi Malusi)
 - Treasurer (Mapolo Mokoena)
 - One additional director appointed by board resolution
2. **Signing Instructions:**
 - Payments up to R 1,000: Any two signatories

- Payments R 1,001 – R 5,000: Chair + Treasurer
- Payments over R 5,000: All three signatories + board resolution
- 3. No signatory shall be related to another signatory by blood or marriage.
- 4. The Administrative Manager (Msimelelo Victor Malusi) is expressly prohibited from being a bank signatory.

B3. Cash Handling

1. Receiving cash:

- Two staff members must count cash together
- Donor receives numbered receipt immediately
- Cash deposited same day (or next morning if received after banking hours)
- Deposit slip attached to receipt copy

2. Petty cash:

- Maximum float: R 500
- Reimbursements require approved request form and original receipt
- Petty cash counted weekly by Financial Manager and verified by Centre Manager
- Surprise counts conducted monthly by Treasurer

3. No cash payments:

- No payments shall be made in cash except from petty cash (max R 200 per transaction)
- All supplier payments by EFT or cheque

SECTION C: BUDGETING AND PLANNING

C1. Annual Budget Process

Timeline	Activity	Responsible
October	Draft budget prepared	Treasurer + Financial Manager
November	Program needs submitted	Program Managers
December	Budget reviewed by Finance Committee	Finance Committee

Timeline	Activity	Responsible
January	Final budget to board for approval	Treasurer
February	Approved budget communicated	Centre Manager

C2. Budget Monitoring

1. Monthly financial reports shall show actual vs. budget with variance explanation.
2. Variances exceeding 10% require written explanation to Finance Committee.
3. Significant variances (15%+) require board approval for corrective action.
4. Budget revisions during the year require board approval.

C3. Budget Authority

Approval Level	Authority	Limit
Within approved budget	Centre Manager	Up to R 2,000 per item
Within approved budget	Treasurer + Chair	R 2,001 – R 10,000
Within approved budget	Board resolution	Over R 10,000
Outside budget	Board resolution	Any amount

SECTION D: EXPENDITURE CONTROLS

D1. Procurement Policy

1. **Three-quote rule:** All purchases over R 2,000 require three written quotes.
2. **Exceptions:** Sole suppliers, emergencies (documented), or pre-approved contracts.
3. **Preferred suppliers:** List maintained and reviewed annually.

4. **No split purchasing:** Orders shall not be split to avoid approval limits.

D2. Payment Process

Step 1: Requisition – Staff complete Purchase Requisition Form with budget code

Step 2: Approval – Authorized manager approves (within their limit)

Step 3: Order – Placed with approved supplier

Step 4: Receipt – Goods received note signed and matched to invoice

Step 5: Payment – Invoice coded, approved, and processed

Step 6: Recording – Transaction entered in accounting system

Step 7: Filing – All documents filed together (requisition, quote, GRN, invoice, proof of payment)

D3. Expense Reimbursement

1. Staff/volunteers may be reimbursed for approved expenses with original receipts.
2. Travel reimbursement at SARS-approved rates (currently R 4.42/km) with logbook.
3. Reimbursement claims submitted monthly, approved by supervisor, processed with next payroll.
4. No reimbursement without original receipt (except mileage).

D4. Stipend Payments

1. All stipends approved in annual budget.
2. Stipend amounts reviewed annually by board.
3. Stipends paid monthly by EFT on or before 25th.
4. Stipend recipients sign acknowledgment of receipt.
5. No director shall receive a stipend (governance is voluntary).

D5. Prohibited Expenditures

The following expenditures are strictly prohibited:

- Alcohol or tobacco products
- Political contributions or activities
- Loans to staff, directors, or volunteers
- Personal expenses of any kind

- Gifts except nominal appreciation (max R 100 per person annually)
 - Any expenditure outside NPO's objectives
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SECTION E: INCOME AND DONATIONS

E1. Donation Handling

1. All donations are acknowledged in writing within 7 days.
2. Section 18A receipts are issued within 30 days for qualifying donations.
3. Donor information maintained in confidential database.
4. Restricted donations tracked separately in accounting records.
5. Donations used strictly for stated purposes.

E2. Section 18A Receipt Management

1. Receipts pre-numbered sequentially (LICC/001/2026 format).
2. Duplicate copies remained for minimum 5 years.
3. Receipts issued only for qualifying donations (cash or in-kind value).
4. In-kind donations are valued at fair market value with supporting documentation.
5. Receipt register maintained with:
 - Receipt number
 - Date
 - Donor name and ID/registration number
 - Amount
 - Purpose (if restricted)
 - Date donation received

E3. Grant Management

1. Each grant assigned unique code in accounting system.
2. Grant expenditure is tracked separately against budget.
3. Grant reporting deadlines maintained in compliance calendar.
4. Grant variations require prior donor approval.
5. Unspent grant funds managed by donor agreement.

E4. Fundraising

1. All fundraising appeals approved by board.
 2. Fundraising costs reasonable and documented.
 3. No misleading statements in fundraising materials.
 4. Fundraising events comply with all relevant regulations.
 5. The public informed about how funds will be used.
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SECTION F: FINANCIAL REPORTING

F1. Internal Reports

Report	Frequency	Prepared By	Reviewed By	Distributed To
Bank reconciliation	Weekly	Financial Manager	Treasurer	Finance Committee
Income/Expenditure	Monthly	Financial Manager	Treasurer	Board
Budget variance	Monthly	Financial Manager	Treasurer	Board
Cash flow forecast	Monthly	Financial Manager	Treasurer	Centre Manager
Donor report	Per grant	Financial Manager	Treasurer	Donors
Quarterly financials	Quarterly	Treasurer	Finance Committee	Board

F2. Annual Financial Statements

1. Prepared within 90 days of year-end (31 March).
2. Reviewed by Finance Committee before board approval.
3. Submitted to DSD within 6 months of year-end.
4. Available to members at AGM.
5. Retained permanently.

F3. External Review/Audit

1. Independent review is required when income exceeds R 200,000 annually.
 2. Full audit required when income exceeds R 500,000 annually.
 3. Auditor/accounting officer appointed by board for minimum 3-year term.
 4. Audit report presented at AGM.
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SECTION G: ASSET MANAGEMENT

G1. Asset Register

1. All assets with value over R 1,000 recorded in asset register.
2. Register includes:
 - Description
 - Serial number (if applicable)
 - Purchase date
 - Purchase cost
 - Location
 - Responsible person
3. Physical asset count conducted annually.

G2. Asset Control

1. Assets tagged with organization's asset number.
2. Assets signed out/returned using asset movement register.
3. Loss or damage reported immediately to Centre Manager.

4. Insurance maintained for significant assets.

G3. Asset Disposal

1. Asset disposal approved by board.
 2. Disposal method (sale, donation, scrapping) documented.
 3. Proceeds from sales recorded as income.
 4. Donated assets to other NPOs require board resolution.
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SECTION H: FAMILIAL RELATIONSHIP CONTROLS

Specific to Mzolisi Malusi (Chair) and Msimelelo Victor Malusi (Admin Manager)

H1. Prohibitions

Msimelelo Victor Malusi is expressly prohibited from:

1. Handling cash or financial transactions
2. Approving any expenditure
3. Being a bank signatory
4. Processing his own stipend
5. Accessing financial records without supervision
6. Participating in budget discussions affecting his position

H2. Oversight

1. All transactions involving Msimelelo (stipend, expenses) require Treasurer approval.
2. His stipend processed by Treasurer, not Centre Manager.
3. Quarterly review by independent sub-committee (Vice Chair + one another director).
4. No procurement from suppliers where he has interest without full board disclosure.

H3. Reporting

1. This policy section disclosed to all donors.

2. Annual declaration of compliance signed by Chair and Treasurer.
 3. Any breach reported to board within 24 hours.
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SECTION I: FRAUD AND MISCONDUCT

I1. Fraud Prevention

1. Segregation of duties as outlined.
2. Mandatory annual leave for financial staff (minimum 2 consecutive weeks).
3. Surprise cash counts and bank reconciliations.
4. Whistleblower policy protecting those reporting concerns.
5. Board oversight of all financial activity.

I2. Suspected Fraud

1. Any suspicion reported immediately to Chairperson.
2. If Chair involved, report to Vice Chair.
3. Preliminary investigation within 48 hours.
4. If evidence is found:
 - Suspend employee pending investigation
 - Report to SAPS if criminal
 - Report to donors if donor funds involved
 - Full board review
5. Disciplinary action per HR policy.

I3. Recovery

1. All reasonable steps taken to recover misappropriated funds.
 2. Legal action considered for significant amounts.
 3. Insurance claim if covered.
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SECTION J: COMPLIANCE AND RECORD KEEPING

J1. Record Retention

Record Type	Retention Period
Section 18A receipts	5 years
Financial statements	Permanent
Bank statements	5 years
Paid invoices	5 years
Payroll records	5 years
Grant agreements	7 years after grant ends
Asset register	Permanent
Board minutes	Permanent

J2. SARS Compliance

1. Annual ITR12 submitted within 12 months of year-end.
2. PBO supplementary information submitted with ITR12.
3. IT3(d) bi-annual reports submitted per SARS requirements.
4. Changes to constitution or activities reported within 30 days.

J3. Donor Compliance

1. Donor reporting deadlines are maintained in compliance calendar.
2. All reports reviewed by Treasurer before submission.
3. Donor queries were responded to within 7 days.
4. Donor visits facilitated with appropriate notice.

J4. Document Storage

1. **Physical:** Locked filing cabinet in Treasurer's office.
 2. **Digital:** Password-protected Google Drive with backup.
 3. **Backup:** External hard drive updated monthly, stored off-site.
 4. **Access:** Chair, Treasurer, Financial Manager only.
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SECTION K: RELATED PARTY TRANSACTIONS

K1. Definition

Related parties include:

- Directors and their immediate family
- Staff and their immediate family
- Entities controlled by directors or staff
- Close business associates

K2. Requirements

1. All related party transactions disclosed to board before approval.
2. Affected person recuses from all discussions and votes.
3. Transactions at arm's length with market rates.
4. Documented with three quotes demonstrating fairness.
5. Reported in annual financial statements.

K3. Prohibited Transactions

- Loans for related parties
 - Below-market rentals or sales
 - Employment of family members without open recruitment
 - Any transaction benefiting a director personally
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SECTION L: FINANCIAL YEAR AND REPORTING CYCLE

Financial Year: 1 April – 31 March

Month	Key Activity
March	Year-end closing, accruals
April	Prepare annual financial statements
May	Board review, auditor appointment
June	Submit to DSD (by 30 September deadline)
July	Annual audit/review conducted
August	AGM – present financials to members
September	Submit to donors as required
October	Begin next year's budget process

SECTION M: POLICY REVIEW AND AMENDMENT

1. This policy is reviewed annually by Finance Committee.
2. Amendments proposed to full board for approval.
3. Significant changes communicated to all staff and volunteers.
4. Policy version controlled with amendment log.

Amendment Log

Version	Date	Description	Approved By
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Version	Date	Description	Approved By
1.0	14 Feb 2026	Initial policy	Board

SECTION N: CERTIFICATION

We, the undersigned, confirm that we have read, understood, and will comply with this Financial Policy and Procedures Manual.

For the Board of Directors:

Mzolisi Malusi

Chairperson

Date: 14 February 2026

Mapolo Mokoena

Treasurer

Date: 14 February 2026

Thabi Prudence Sambo Moatsi

Secretary

Date: 14 February 2026

For Staff:

Eunice Mitanga

Executive Centre Manager

Date: 14 February 2026

[Financial Manager Name]

Financial Facilitating Manager

Date: 14 February 2026

Msimelelo Victor Malusi

Administrative Facilitating Manager

Date: 14 February 2026

APPENDICES

Appendix	Document
A	Purchase Requisition Form
B	Payment Voucher Template
C	Petty Cash Reconciliation Form
D	Section 18A Receipt Template
E	Asset Register Template
F	Budget Template
G	Financial Report Template
H	Donation Acknowledgment Template
I	Travel Claim Form

Appendix

Document

J

Related Party Disclosure Form

QUICK REFERENCE: FINANCIAL CONTROLS SUMMARY

Control	Requirement
Bank signatories	3 minimum, 2 to sign
Cash deposit	Within 48 hours
Three quotes	Over R 2,000
Purchase approval limits	As per budget authority
Petty cash max	R 500 float, R 200 per transaction
Receipt retention	5 years
Budget monitoring	Monthly variance report
External review	Required over R 200,000 income
Board approval	Required for over R 10,000
Msimelelo restrictions	Zero financial access

This policy transforms our financial management from "trust-based" to "system-based." It protects our organization, our staff, and our beneficiaries.
